



Shipbuilding Industry Act 1967

1967 CHAPTER 40

An Act to provide for the establishment of a public board with the function of promoting the ability of the shipbuilding industry in the United Kingdom to compete in world markets; to enable the board to give financial assistance to persons carrying on shipbuilding undertakings and marine engine manufacturing undertakings; to enable the Minister of Technology to give guarantees in connection with the construction of ships in shipyards situated in the United Kingdom and the equipment of ships constructed in such shipyards; and for connected purposes. [28th June 1967]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

The Shipbuilding Industry Board

1.—(1) For the purpose of promoting the ability of the shipbuilding industry in the United Kingdom to compete in world markets there shall be a body to be called the Shipbuilding Industry Board (in this Act referred to as “the Board”) having the functions conferred on it by this Act. Establishment of Shipbuilding Industry Board.

(2) The Board shall consist of a chairman and not less than two nor more than four other members appointed by the Minister of Technology (in this Act referred to as “the Minister”).

(3) The powers conferred on the Board by the subsequent provisions of this Act shall be exercisable for the purpose mentioned in subsection (1) of this section, and the Board shall, in addition, have power to carry on for that purpose any activity which it considers can be advantageously carried on by it.

(4) The Minister may, after consultation with the Board, give to the Board directions of a general character as to the exercise of its functions, and the Board shall comply with any such directions.

(5) The Schedule to this Act shall have effect in relation to the Board and to its members and staff.

Financial assistance by Board

Grants for
advice on
grouping
schemes.

2.—(1) Subject to the provisions of this section, the Board may make to any person carrying on a shipbuilding undertaking or a main engine manufacturing undertaking a grant by way of reimbursement in whole or in part of any fees payable by that person to a consultant for the preparation of a report in connection with any proposed grouping scheme affecting that undertaking.

(2) This section applies to any report obtained whether before or after the commencement of this Act in pursuance of instructions given after 24th March 1966.

(3) Grants made under this section shall not together exceed £150,000 and no such grant shall be made after 31st March 1968.

Grants to
assist
reorganisation
of resources.

3.—(1) If it appears to the Board that a person carrying on—

(a) a shipbuilding undertaking in relation to which a grouping scheme has taken effect at any time after 24th March 1966 ; or

(b) a main engine manufacturing undertaking,

is putting, or has put, into effect a reorganisation of the resources used by him for the purpose of carrying on that undertaking and that the reorganisation is likely to lead, or has led, to increased efficiency in the use of those resources for that purpose, the Board may, subject to the provisions of this section, make grants to that person—

(i) in respect of any expenses incurred by him during the period between the commencement of this Act and the end of 1970 in connection with the reorganisation ; and

(ii) in respect of his inability to use those resources to the best advantage at any time during that period when the reorganisation is or was in progress.

(2) Any grant under this section shall require the approval of the Minister.

(3) Grants made under this section shall not together exceed £5 million.

Loans.

4.—(1) Subject to the provisions of this section, the Board may make a loan to any person to enable him to acquire shares

in a company carrying on a shipbuilding undertaking or a main engine manufacturing undertaking if the shares are to be acquired in connection with a grouping scheme.

(2) Subject to the provisions of this section, the Board may make to any person carrying on a shipbuilding undertaking—

(a) if a grouping scheme has taken effect in relation to that undertaking at any time after 24th March 1966, a loan for the purposes of that undertaking generally or for such purposes of that undertaking as the Board thinks fit;

(b) whether or not such a scheme has taken effect in relation to that undertaking, a loan for—

(i) the provision or improvement of buildings, structures, works, plant or equipment used or to be used by him for the purpose of carrying on that undertaking;

(ii) the re-training of workers for employment by him for that purpose.

(3) Subject to the provisions of this section, the Board may make to any person carrying on a main engine manufacturing undertaking a loan for the purposes of that undertaking generally or for such purposes of that undertaking as the Board thinks fit—

(a) if a grouping scheme has taken effect in relation to that undertaking at any time after 24th March 1966; or

(b) if it appears to the Board that the person carrying on that undertaking—

(i) is putting into effect a reorganisation of the resources used by him for the purpose of carrying on that undertaking; or

(ii) has since the date of the commencement of this Act put into effect such a reorganisation as aforesaid (including a reorganisation begun but not completed before that date),

and that the reorganisation is likely to lead, or has led, to increased efficiency in the use of those resources for that purpose.

(4) Any number of loans may be made under this section to the same person.

(5) Any loan under this section shall require the approval of the Minister.

(6) Any loan under this section shall be made on such terms and conditions as to repayment and interest as may, with the approval of the Minister and the Treasury, be agreed upon between the Board and the borrower, and shall be made on such other terms and conditions as may with the approval of the Minister be so agreed upon.

(7) Loans made under this section shall not together exceed £32½ million.

Relief for
interest on
loans.

5.—(1) The Board may with the approval of the Minister give relief in respect of the whole or any part of the interest payable by any person on a loan made under section 4 of this Act, being interest in respect of any period before the end of 1970.

(2) The Board shall give effect to any decision to give relief of any amount under this section to any person by making a grant to him of that amount.

Assistance by
acquisition
of shares.

6.—(1) Where a person to whom a loan may be made by the Board for any purpose under section 4 of this Act is a company incorporated under the law of any part of the United Kingdom—

(a) the terms on which any such loan is made may provide for the indebtedness to the Board to be discharged by the issue of shares in the company ; and

(b) the Board may, instead of or as well as making a loan under that section, provide the company with funds for that purpose by subscribing for shares in the company.

(2) Any exercise by the Board of its powers under subsection (1)(b) of this section shall require the approval of the Minister, and any sum applied by the Board in the exercise of those powers shall be taken into account for the purposes of subsection (7) of section 4 of this Act as if it were a loan made under that section.

(3) The Board shall not dispose of any shares acquired by it by virtue of this section except with the approval of the Minister.

Guarantees by Minister

Guarantees in
connection
with
shipbuilding.

7.—(1) Subject to the provisions of this section, the Minister may, with the consent of the Treasury, guarantee the payment by any person who is an individual resident in, or a company incorporated under the law of any part of, the United Kingdom, any of the Channel Islands or the Isle of Man of any sum payable by that person in respect of principal or interest under arrangements (whether by way of loan or otherwise) entered into by that person for the purpose of financing—

(a) the construction to the order of that person in a shipyard situated in the United Kingdom of a ship of not less than one hundred tons gross tonnage ; and

(b) the equipment of that ship.

(2) The foregoing subsection applies to any order placed after 15th February 1967.

(3) No guarantee shall be given under this section except on the recommendation of the Board, and the Board shall not make such a recommendation unless it appears to the Board—

(a) that the person carrying on the shipbuilding undertaking comprising the shipyard in question—

(i) has since the date of the commencement of this Act put into effect a reorganisation of the resources used by him for the purpose of carrying on that undertaking (including a reorganisation begun but not completed before that date); or

(ii) is making satisfactory progress in the preparation of plans for, or in putting into effect, such a reorganisation as aforesaid,

being a reorganisation which has led, or is likely to lead, to increased efficiency in the use of those resources for that purpose; and

(b) that the carrying out of the order in question in that shipyard is consistent with, or will contribute to, that increased efficiency and will secure that use is made of resources which are then or will shortly be available and are otherwise unlikely to be used.

(4) Any guarantee under this section shall be given on such terms and conditions as to the consideration for the giving of the guarantee and otherwise as may, with the approval of the Treasury, be specified in the agreement or agreements relating to the giving of the guarantee.

(5) The aggregate amount of the liability at any time of the Minister in respect of guarantees under this section (exclusive of any liability in respect of interest on any principal moneys the payment of which is the subject of any such guarantee) shall not exceed £200 million.

(6) In this section any reference to the construction of a ship includes a reference to the completion of a partially constructed ship, and any reference to the equipment of a ship is a reference to the installation on or in it, or the provision for it, of fixed or moveable equipment, apparatus or furnishings of any kind.

Miscellaneous and supplementary

8.—(1) The Board shall within a period of four months after the end of each financial year and as soon as possible within that period make a general report to the Minister on the exercise by the Board of its functions during that year. Reports and accounts.

(2) The report for any financial year shall—

(a) set out any directions given to the Board under section 1(4) of this Act during that year; and

(b) include a statement of—

(i) any grants or loans made by the Board during that year, specifying in each case the grantee or borrower and the amount of the grant or loan ;

(ii) any subscription for shares by the Board during that year, specifying in each case the company concerned, the number and description of the shares and the amount subscribed ; and

(iii) any case in which the Minister has during that year withheld his approval under section 3(2), 4(5), or 6(2) of this Act, specifying the proposed grantee or borrower or the company concerned and the proposed amount of the grant or loan or, as the case may be, the number and description of the shares and the amount proposed to be subscribed.

(3) The Minister shall lay a copy of each report made to him under the foregoing provisions of this section before each House of Parliament together with such comments as he may think fit to make.

(4) The Board shall keep proper accounts and other records, and shall prepare for each financial year a statement of accounts in such form as the Minister with the approval of the Treasury may direct and submit that statement to the Minister at such time as he may direct.

(5) The Minister shall not later than the end of November in any year send the statement of accounts of the Board for the financial year last ended to the Comptroller and Auditor General who shall examine, certify and report on the statement of accounts and lay copies of it together with his report before each House of Parliament.

**Dissolution
of Board.**

9.—(1) Subject to any order under subsection (2) of this section, the Board shall cease to exist at the end of 1970.

(2) The Minister may at any time before the end of 1970 by order direct that the Board shall not be dissolved until such later date, not being a date after the end of 1971, as may be specified in the order.

(3) On the dissolution of the Board its property, and any rights or liabilities to which it is entitled or subject in consequence of the exercise of its functions, shall vest in the Minister.

(4) The Minister may by order make such provision as appears to him to be necessary or expedient in consequence of, or in connection with, the dissolution of the Board, including provision for modifying the operation of section 8 of this Act in the financial year in which the Board is dissolved.

(5) The power to make orders under this section shall be exercisable by statutory instrument, and any order under subsection (2) thereof shall be subject to annulment in pursuance of a resolution of either House of Parliament.

10.—(1) The Minister may pay to the Board such sums as it may require for making loans under this Act, and the Treasury shall issue to him out of the Consolidated Fund such sums as are necessary to enable him to make payments to the Board under this subsection. Financial provisions.

(2) There shall be paid out of moneys provided by Parliament—

- (a) such sums as the Minister may with the consent of the Treasury pay to the Board in respect of its expenses so far as they do not consist of loans made by the Board ;
- (b) any sum required by the Minister for fulfilling a guarantee given under section 7 of this Act ;
- (c) any expenses incurred by the Minister by virtue of section 9(3) of this Act ;
- (d) any administrative expenses incurred for the purposes of this Act by the Minister.

(3) For the purpose of providing sums to be issued out of the Consolidated Fund under subsection (1) of this section, or providing for the replacement of sums so issued, the Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act 1939, and any securities created and issued to raise money under this subsection shall be deemed for all purposes to be created and issued under that Act. 1939 c. 117.

(4) The Board shall pay to the Minister any sum received by it—

- (a) by way of repayment of, or interest on, any loan made by the Board under this Act ;
- (b) by way of dividend on, or otherwise in respect of, any shares acquired by the Board under this Act.

(5) Any sums received by the Minister under the last foregoing subsection, and any sums received by or vested in him under or by virtue of any other section of this Act, shall be paid by him into the Exchequer.

(6) Any sums paid by the Minister into the Exchequer which represent repayments of, or interest on, a loan made by the Board shall be issued out of the Consolidated Fund at such times as the Treasury may direct, and shall be applied by the Treasury as follows, that is to say—

- (a) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit, and

- (b) so much thereof as represents interest shall be applied towards meeting such part of the annual charges for the National Debt as represents interest.

(7) Where under an agreement made by virtue of section 6(1)(a) of this Act indebtedness in respect of any amount is discharged by the issue of shares, the Minister shall out of moneys provided by Parliament pay into the Exchequer a sum equal to that amount, and subsection (6) of this section shall apply to any such sum as it applies to a sum which represents repayment of the principal of a loan made by the Board.

(8) The Minister shall, as respects each financial year, prepare in such form and manner as the Treasury may direct—

- (a) an account of the sums issued to him under subsection (1) of this section and of any sums required to be paid by him into the Exchequer under subsections (5) and (7) thereof, and of the disposal by him of those sums respectively ;
- (b) a statement of any guarantees given by him under section 7 of this Act ;

and the Minister shall, not later than the end of November following the year, send the account and statement to the Comptroller and Auditor General who shall examine, certify and report on the account and lay copies of it together with his report and copies of the statement before each House of Parliament.

The
Shipbuilding
and Ship
Repairing
Council.

11.—(1) There shall be a body to be known as the Shipbuilding and Ship Repairing Council consisting of—

- (a) the members of the Board ;
- (b) representatives appointed by the Board of persons carrying on shipbuilding undertakings, main engine manufacturing undertakings and ship repairing undertakings in the United Kingdom and of persons employed in such undertakings ; and
- (c) such other persons as the members of the Council mentioned in the foregoing paragraphs may co-opt.

(2) Before making appointments under paragraph (b) of subsection (1) of this section the Board shall consult with such organisations representative of the persons mentioned in that paragraph as appear to the Board to be appropriate.

(3) The chairman of the Board shall be chairman of the Council.

(4) The Board shall keep the Council informed about the Board's activities and shall regularly consult with the Council about the state and prospects of the industries comprising the

undertakings mentioned in subsection (1)(b) of this section, with particular regard to the effects produced by the activities of the Board.

(5) The Council shall cease to exist on the dissolution of the Board, but the Board shall before its dissolution make recommendations to the Council as to the setting up of appropriate machinery for consultation between persons engaged in the industries mentioned in the last foregoing subsection.

12.—(1) In this Act, unless the context otherwise requires— Interpretation.

“the Board” means the Shipbuilding Industry Board;

“company” includes any body corporate;

“Consolidated Fund” means the Consolidated Fund of the United Kingdom;

“financial year”, in relation to the Board, means the twelve months ending with 31st March;

“gross tonnage” mean gross tonnage ascertained in accordance with regulations under section 1 of the Merchant Shipping Act 1965; 1965 c. 47.

“group of companies” means a company and all other companies which are subsidiaries thereof within the meaning of section 154 of the Companies Act 1948; 1948 c. 38.

“grouping scheme” means a scheme involving the acquisition or transfer of, or of any assets used for the purposes of, any undertaking, or the formation of, or the acquisition, issue or transfer of shares in, any company, being a scheme as a result of which the whole or part of two or more shipbuilding undertakings or of two or more main engine manufacturing undertakings previously carried on independently of each other—

(a) are combined so as to constitute or form part of an undertaking carried on by one person; or

(b) are carried on by members of the same group of companies;

“main engine manufacturing undertaking” means an undertaking (whether or not carried on in conjunction with an undertaking of any other description) for the manufacture in the United Kingdom of engines for the propulsion of ships of not less than one hundred tons gross tonnage;

“the Minister” means the Minister of Technology;

“resources”, in relation to any undertaking, means the buildings, plant, equipment and manpower used for the purposes of the undertaking;

“ shares ” includes stock and “ dividend ” shall be construed accordingly ;

“ ship ” includes every description of vessel used in navigation ;

“ shipbuilding undertaking ” means an undertaking (whether or not carried on in conjunction with an undertaking of any other description) for the construction in the United Kingdom of ships of not less than one hundred tons gross tonnage.

(2) Any reference in this Act to an undertaking of any description in relation to which a grouping scheme has taken effect is a reference to an undertaking of that description which—

(a) in consequence of that scheme, consists of or includes the whole or part of two or more undertakings of that description which were previously carried on independently of each other ; or

(b) is carried on by a person who is a member of a group of companies which, in consequence of that scheme, consists of or includes two or more companies carrying on undertakings of that description who were not previously members of the same group of companies.

(3) Any reference in this Act to undertakings carried on independently of each other is a reference to undertakings which are carried on by different persons who are not members of the same group of companies.

(4) Any reference in this Act to any enactment is a reference thereto as amended by or under any other enactment.

Short title
and extent.

13.—(1) This Act may be cited as the Shipbuilding Industry Act 1967.

(2) It is hereby declared that this Act extends to Northern Ireland.

1920 c. 67.

(3) For the purposes of section 6 of the Government of Ireland Act 1920 this Act shall, so far as it relates to matters within the power of the Parliament of Northern Ireland, be deemed to be an Act passed before the appointed day within the meaning of that section.

SCHEDULE

Section 1.

THE SHIPBUILDING INDUSTRY BOARD

Incorporation and status

1. The Board shall be a body corporate having perpetual succession and a common seal.

2. Premises occupied by the Board shall be deemed, for the purposes of any rate on property, to be property occupied by or on behalf of the Crown for public purposes; but, save as aforesaid, the Board shall not be regarded as the servant or agent of the Crown or as enjoying any status, immunity or privilege of the Crown or as exempt from any tax, duty, levy or other charge whatsoever, and its property shall not be regarded as the property of, or property held on behalf of, the Crown.

Members

3.—(1) A member of the Board shall hold and vacate his office in accordance with the terms of his appointment and shall, on ceasing to hold his office, be eligible for re-appointment.

(2) Any member may at any time by notice in writing to the Minister resign his office.

4.—(1) Before appointing a person to be a member of the Board the Minister shall satisfy himself that that person will have no such financial or other interest as is likely to affect prejudicially the discharge by him of his functions as a member of the Board, and the Minister shall also satisfy himself from time to time with respect to every member of the Board that he has no such interest; and any person who is, or whom the Minister proposes to appoint to be, a member of the Board shall, whenever requested by the Minister so to do, furnish to him such information as the Minister considers necessary for the performance by the Minister of his duties under this sub-paragraph.

(2) A member of the Board who is in any way directly or indirectly interested in a transaction or project of the Board shall disclose the nature of his interest at a meeting of the Board; and the disclosure shall be recorded in the minutes of the Board, and the member shall not take any part in any deliberation or decision of the Board with respect to that transaction or project.

(3) For the purposes of the last foregoing sub-paragraph a general notice given at a meeting of the Board by a member of the Board to the effect that he is a member of a specified company or firm and is to be regarded as interested in any transaction or project of the Board concerning the company or firm, shall be regarded as a sufficient disclosure of his interest in relation to that transaction or project.

(4) A member of the Board need not attend in person at a meeting of the Board in order to make any disclosure which he is required to make under this paragraph if he takes reasonable steps

SCH. to secure that the disclosure is made by a notice which is brought up and read at the meeting.

5.—(1) The Board shall pay to the members thereof such salaries or fees, and such allowances, as the Minister may with the approval of the Treasury determine; and where a member of the Board is in the employ of any other person the Board may make to that other person in consideration of the services to the Board of that member such payments as the Minister may with the like approval determine.

(2) The Board shall, as regards any members in whose case the Minister may so determine with the approval of the Treasury, make provision for, or pay to or in respect of them, such pensions or gratuities as may be so determined.

(3) If a person ceases to be a member of the Board and it appears to the Minister that there are special circumstances which make it right that that person should receive compensation, the Minister may with the approval of the Treasury require the Board to pay to that person a sum of such amount as the Minister may with the like approval determine.

(4) The Minister shall, as soon as possible after the first appointment of any person as a member of the Board, lay before each House of Parliament a statement of the sums that are or will be payable to or in respect of that member under sub-paragraph (1) of this paragraph; and if any subsequent determination by him under that sub-paragraph involves a departure from the terms of that statement, or if he makes a determination under sub-paragraph (2) or (3) of this paragraph, the Minister shall, as soon as possible after the determination, lay a statement before each House of Parliament of the sums that are or will be payable in consequence of that determination.

6.—(1) If the Minister is satisfied that a member of the Board—

- (a) has been absent from meetings of the Board for a period longer than three consecutive months without the permission of the Board; or
- (b) has become bankrupt or made an arrangement with his creditors; or
- (c) is incapacitated by physical or mental illness; or
- (d) is otherwise unable or unfit to discharge the functions of a member,

the Minister may declare his office as a member of the Board to be vacant and shall notify the fact in such manner as the Minister thinks fit; and thereupon any office so held shall become vacant.

(2) In the application of this paragraph to Scotland, for the references in the foregoing sub-paragraph to a member's having become bankrupt and to a member's having made an arrangement with his creditors there shall be substituted respectively references to sequestration of a member's estate having been awarded and to a member's having made a trust deed for behoof of his creditors or a composition contract.

7.—(1) In Part II of Schedule 1 to the House of Commons Dis-
 qualification Act 1957 (bodies of which all members are disqualified SCH.
 under that Act) both in its application to the House of Commons 1957 c. 20.
 of the Parliament of the United Kingdom and in its application to the
 Senate and House of Commons of Northern Ireland, after the entry
 relating to the Scottish Law Commission there shall be inserted the
 words "The Shipbuilding Industry Board".

(2) On the dissolution of the Board the foregoing sub-paragraph
 and the words thereby inserted in the said Act of 1957 shall be
 repealed.

Proceedings

8. The validity of any proceedings of the Board shall not be
 affected by any vacancy among the members or by any defect in
 the appointment of any member.

9. The quorum of the Board and the arrangements relating to
 meetings of the Board shall be such as the Board may determine.

10.—(1) The fixing of the seal of the Board shall be authenticated
 by the signature of the chairman of the Board or some other member
 thereof authorised either generally or specially by the Board to act
 for that purpose.

(2) Any document purporting to be a document duly executed
 under the seal of the Board shall be received in evidence and shall,
 unless the contrary is proved, be deemed to be a document so
 executed.

Staff

11.—(1) The Board shall pay to the persons employed by it such
 remuneration as the Minister may with the approval of the Treasury
 determine.

(2) The Board shall, in the case of such persons employed by
 it as the Minister may with the approval of the Treasury determine,
 pay to or in respect of them such pensions or gratuities, or make
 such payment towards the provision of pensions or gratuities, as
 may be so determined.

